

Trading Tactics

Swing traders will want to pay attention, especially if they aren't shy about shorting a stock. The bearish crab is all about going short at or slightly after turn D. How well does that work? I crunched some numbers, and [Table 19.3](#) shows them.

How often does price turn at D? If price doesn't turn down often enough, then the pattern is unreliable and difficult to trade profitably. The crab does a good job forming a minor high at D and pushing price lower. The turn rate is 87% in bull markets and even better in bear markets. In other words, you can depend on price turning lower at D.

How many drop to...? Even if you have a high turn rate for price dropping after D, it doesn't do much good if price doesn't drop far enough to make a profit. The 5% failure rate shown in [Table 19.2](#) helps assess that, but so does measuring how often price reaches one of the turning points in the pattern.

For example, in the patterns I looked at in bull markets, the stocks saw price drop to X (the closest point below D) 59% of the time and slightly better in bear markets, 68% of the time. That's not very good. Turns A, B, and C are lower than X, and they show price struggling to reach them.

The percentages shown in the table aren't that good, so do take care if you decide to short a stock showing a bearish crab. If you own a stock long, it might be prudent to ignore the pattern and just hold on, but that decision rests with you and your situation. It might be that the crab is warning of impending doom (like [Figure 19.2](#) shows). Or it might be a [Figure 19.3](#) type of fake-out (where price climbs shortly after D).